B.E.T.Trade

Gold Playbook

Course notes - Lessons 03.1 to 03.4

XAU/USD · the dollars-per-move asset

WHAT'S INSIDE

Notes generated from the B.E.T.Trade Forex course. For the full lessons with video walkthroughs, see the Pro tier.

GOLD PLAYBOOK · LESSON 03.1

Pip & dollar mechanics

Gold is the asset everyone trades and almost nobody sizes correctly. Before anything else you need the one number that runs the whole game - what a move is actually worth - and why gold behaves nothing like a currency pair.

~6 min read

TL;DR - IF YOU'RE IN A HURRY

Gold is not a currency - it is dollars per ounce. The one number that matters: **1 standard lot = $100 per $1 move** ($1 per "pip" on a micro lot). Think in dollars of movement, never in pips.

Intro - the *weird kid* of your watchlist

Every new trader puts gold on their chart because it moves a lot and looks exciting. Then it nukes their account in a week and they blame "manipulation". The truth is simpler: **gold does not play by currency rules**, and they sized it like it does.

XAU/USD is the price of one **troy ounce of gold quoted in US dollars**. "XAU" is the ISO code for an ounce of gold, "USD" is the dollar - so the chart is literally "dollars per ounce". There is no central bank setting a gold interest rate, no GDP print for "Goldland", no rate differential in the classic sense. It is a **commodity wearing a forex costume**, and that one fact explains everything weird about it.

Get this lesson right and gold becomes one of the cleanest trending instruments you can trade. Get it wrong and it is the fastest way to blow a funded account on record.

What "a pip" even *means* on gold

First, kill the confusion. Gold quotes to **2 decimal places**: 2350.00 to 2350.01. Brokers and traders argue endlessly about what counts as a "pip" on gold, so do yourself a favour and **stop thinking in pips entirely**. Think in **dollars of movement**.

The contract size for a standard lot of gold is **100 troy ounces**. So a $1 move in price, times 100 ounces, equals $100. Everything scales from there:

```
XAU/USD: 2350.00 → 2351.00  =  a $1 move

1 standard lot (1.00) = 100 oz = $100  per $1 move
1 mini lot     (0.10) =  10 oz = $10   per $1 move
1 micro lot    (0.01) =   1 oz = $1    per $1 move
```

So if someone says "gold moved 30 dollars today", on a single standard lot that is **$3,000** swinging through your account. On EUR/USD a 30 pip move on a standard lot is $300. Same lot label, ten times the damage. That is the whole reason people get hurt.

On gold you think in dollars per move, not pips. Burn in one number: 1.00 lot = $100 per $1. Everything else is risk management built on top of it.

How gold *differs* from a currency pair

Put it all together. Here is gold versus a normal major, side by side in your head:

- **No interest-rate carry.** A currency pays you (or charges you) overnight swap from the rate differential. Gold has no yield - it has a small storage/funding cost, so longs usually pay a little to hold.
- **Bigger, faster range.** Daily ATR in dollars dwarfs a major's pip range once you convert to account impact.
- **Weekend gaps.** Gold can gap on Sunday open over geopolitical news - a naked position can jump your stop.
- **Driven by yields and fear,** not by one country's economic calendar.
- **Thin Asian liquidity** and brutal slippage on US data releases.

DXY & real yields

Gold is not random. It responds to three forces in a fairly strict order - and once you know them, you check two of them before you even open the gold chart.

~6 min read

TL;DR - IF YOU'RE IN A HURRY

Gold moves on three things, in order: **real yields, the dollar (DXY), and fear**. Check DXY and the direction of real yields **before** you ever look at the gold chart - they tell you which way the wind is blowing.

Why gold moves - the *three real drivers*

Gold is not random and it is not "manipulated" any more than anything else. It responds to three forces, in roughly this order of importance:

1. **Real yields.** Gold pays you no interest. So when "real" yields (bond yields minus inflation expectations - think US 10Y TIPS) go **up**, holding gold has a higher opportunity cost and it tends to **fall**. When real yields drop, gold becomes more attractive and tends to **rise**. This is the deep engine under the price.
2. **The US dollar (DXY).** Gold is priced in dollars, so a stronger dollar usually means a lower gold price and a weaker dollar means a higher gold price. It is an inverse relationship, roughly -0.6 to -0.8, not a law of physics.
3. **Fear and risk-off.** Gold is the original safe haven. Wars, banking scares, sovereign panic, "the world is ending" headlines - money runs into gold. This driver can override the other two for short, violent bursts.

When all three line up (falling real yields + weak dollar + rising fear), gold goes parabolic. When they fight each other, it chops sideways and stops everyone out. Your job is to know which regime you are in.

The DXY relationship - your *first filter*

You already met DXY in the Major Pairs lessons as the dollar's strength index. Use it on gold exactly the same way - as a direction filter you check *before* you look at the gold chart itself.

- **DXY pushing up** → headwind for gold. Be suspicious of longs, favour shorts or stand aside.
- **DXY rolling over / down** → tailwind for gold. Longs have the wind at their back.
- **DXY going nowhere** → gold is trading its own story (yields, fear, technicals). Lean on price structure.

THE DECOUPLING TRAP

Normally a strong dollar means weak gold. But during a genuine **crisis**, both can rise together - everyone wants dollars *and* gold at the same time. If you see gold ripping while DXY is also green, that is not a glitch, that is fear overriding the dollar driver.

Lesson: the DXY filter is a tendency, not a guarantee. When fear takes over, it temporarily stops working.

Sessions & the NY open

Gold only really moves in two windows, and around the opens it loves to sweep liquidity before it reverses. Get the timing wrong and even a correct idea gets stopped out.

~6 min read

TL;DR - IF YOU'RE IN A HURRY

Trade gold in the **London and New York** windows only - the Asian session is a trap. Around the opens it sweeps liquidity and *then* reverses (sweep, then go). And in a real panic gold can **dip first, then rip** - so don't blindly long the first safe-haven candle.

Sessions - when gold *actually* moves

Gold is a **London and New York instrument**. The Asian session is mostly a quiet drift and false breakouts - thin liquidity, easy to get faked out. The real money shows up later:

Session (NY time)	Behaviour	How to treat it
Asian (20:00-02:00)	Slow, range-bound, fakeouts	Mostly avoid / mark levels
London open (02:00-05:00)	First real liquidity, sweeps	Killzone - watch for the trap
NY AM (08:30-11:00)	Peak volatility, data-driven	Prime time - best setups
NY PM (13:00-16:00)	Drifts after the AM move	Manage, don't initiate fresh

The **London-NY overlap** around the US data window (08:30 NY) is where gold does most of its damage and offers most of its opportunity. CPI, NFP, FOMC and the 10:00 NY "London fix" are the heartbeat. If you only ever trade gold from 08:00 to 11:00 NY, you will catch the cleanest moves and miss most of the garbage.

Gold rewards patience for the NY open and punishes boredom in the Asian session. If you are trading gold at midnight because nothing else is moving, you are the liquidity.

The NY open behaviour - *sweep then go*

Gold respects the same ICT/SMC logic you learned on the index futures and the majors. Around the London and NY opens it loves to **run a liquidity pool** - sweep the highs or lows where retail stops sit - and *then* reverse into the real move. It rarely just takes off in a straight line from the open.

Practical version: when gold spikes hard in the first minutes of the NY session, your first question is not "do I chase?" - it is "**whose stops just got taken, and is this the reversal?**" The sweep is the setup, not the signal to panic-enter.

Risk-off windows - gold's superpower *and* its trap

Gold is the asset people run to when they are scared. Equities crash, a bank wobbles, a war headline drops - gold catches a bid. That is the superpower. But there is a nasty trap inside it.

In a **liquidity crunch** (the really violent kind), the first thing that happens is the opposite of what you expect: people sell their winners, including gold, to raise cash and cover margin calls elsewhere. So gold can **dip first, then rally hard** once the panic-selling clears. If you bought the very first candle of "gold is a safe haven", you can still get stopped out before being completely right.

EXAMPLE - THE TWO-STAGE PANIC

A major risk-off morning hits. S&P gaps down 2%. Gold's "obvious" reaction is up. Instead it drops $15 in the first hour as funds sell everything for cash. Then, once the margin calls are met, it reverses and rips $40 to new highs.

The trader who longed the open got stopped. The trader who waited for the sweep and the reversal got the whole move. Same idea, completely different outcome - all because of timing and size.

GOLD PLAYBOOK · LESSON 03.4 (FINAL)

Risk & the cheatsheet

This is the part that actually keeps you in the game. Because every dollar of gold movement is $100 per lot, position sizing is not optional - it is the whole difference between a funded account and a blown one.

~6 min read

TL;DR - IF YOU'RE IN A HURRY

Because $1 of movement is **$100 per standard lot**, a normal daily range can nuke an account. Size by **dollars of stop distance**, at least halve your usual FX lot, use wider stops, and follow the seven rules below. Survival first.

The *$/move math* you must respect

This is the section that actually keeps you in the game. Because $1 of price equals $100 per standard lot, gold's everyday range is genuinely dangerous. A $30-40 daily range on a single standard lot is **$3,000-4,000** of swing. Trade three lots "because you saw a good setup" and a normal pullback is a five-figure drawdown.

So size gold by dollars of stop distance, exactly like you sized FX by pips - just with the gold pip-value baked in:

```
Lot size = risk $ / (stop distance in $ × $100)

Account $5,000 · risk 1% = $50
Stop distance = $4.00 of gold movement

Lot size = 50 / (4.00 × 100)
         = 50 / 400
         = 0.125 lot  (round down to 0.12)
```

PRACTICAL EXAMPLE - THE ACCOUNTING

Same $5,000 account, but you "felt confident" and put on 1.00 lot with that same $4.00 stop. Your risk was not 1% - it was **4.00 × $100 = $400 = 8% of the account on one trade.**

Two of those in a row and you are down 16% on two normal losers. That is how gold ends funded challenges - not with a crash, just with sloppy sizing.

Rule of thumb: whatever lot size you would use on EUR/USD, at least halve it for gold, and measure your stop in dollars of price - never in "pips".

The practical playbook - *seven rules*

If you remember nothing else, tape these to your monitor:

1. Trade gold in the **London / NY window** only. Skip the dead Asian drift.
2. Check **DXY and the direction of real yields** for bias before touching the gold chart.
3. **Halve** your normal FX lot size, at minimum.

4. Stops are measured in **dollars of price**, and they go wider than you think - gold needs room to breathe.
5. Do not hold naked through **FOMC, CPI or NFP** unless trading the event is the actual plan.
6. Respect **round numbers** (2300, 2350, 2400) - that is where the liquidity and the sweeps live.
7. **Never revenge-trade gold.** It is happy to take your money back with interest in about four minutes.

Cheatsheet for your phone

Screenshot this and keep it until it is muscle memory:

What	Number	Context
1.00 lot per $1 move	$100	100 oz contract
0.10 lot per $1 move	$10	Mini
0.01 lot per $1 move	$1	Micro
Price decimals	2 (0.01)	Think dollars, not pips
Typical daily range	$20-40	Risk-regime dependent
Best session	08:30-11:00 NY	London-NY overlap
Main drivers	Real yields, DXY, fear	In that order
DXY correlation	~ -0.7	Breaks during pure fear
Sizing rule	Half of FX, wider $ stop	Survival first

Last words - go *watch it move*

Gold is not harder than forex - it is just **heavier**. Every concept you already have (DXY for direction, killzones for timing, liquidity sweeps for entries, risk % for sizing) transfers directly. The only new skill is **respect for the dollar-per-move math**, and the discipline to size down because of it.

Do this today: open a demo, put gold on a 5-minute chart next to DXY, and just watch one full NY AM session. Notice the open sweep, the data spike, how fast $10 appears and disappears. Feel the speed before you ever risk a cent. Once $100-per-dollar is in your bones, gold goes from "the asset that blew my account" to one of the best trending plays on your screen.

Next up the track moves into **London + NY Killzones** - the exact timing windows that make every one of these setups fire. Keep going.